

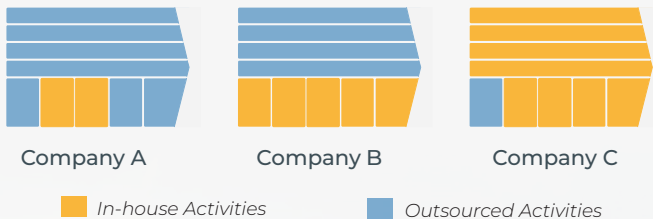
→ What it means?

All players in the industry need to perform these activities to operate in the industry. These are the activities that need to be taken care of. It is the ability of different companies to perform these activities better than others that determines their strengths.

Entrepreneurs/Investors must understand the activities that are more critical. Only then can they evaluate the strengths and weaknesses of the companies. They need to evaluate where does each company stand on those critical activities.

How to benefit from it?

Each activity can be a source of differentiation for the companies in the industry. The companies can choose to do any combination of activities and get the rest outsourced with differing implications on the competitive positioning of the company. The value of each company significantly influences the cost and revenue model.



Different companies can also choose to do activities that are outside the value chain, which might give them a source of differentiation and benefit from the position.

Those wanting to start a business in the industry must understand value chain, the chain of activities to be performed and the capability required to perform these activities. They need to then evaluate if they have a plan for differentiation within the industry or not.